

COMPANY STOCK ANALYSIS REPORT

Infosys Limited (NSE: INFY • BSE: 500209 • NYSE: INFY)

Task 2

Current Price	Market Cap	P/E Ratio	Dividend Yield
₹1,045 (Jul 2026)	₹4,24,910 Cr	14.5×	4.58%

1. Share Price Trend (July 2025 – July 2026)

Infosys shares have undergone a sharp correction over the past 12 months. The stock reached a 52-week high of ₹1,728 in August 2025, bolstered by positive sentiment around the company's AI-first transformation and strong large deal momentum. However, a combination of macroeconomic headwinds, sector-wide IT spending caution among global clients, and a stronger rupee began weighing on the stock in the second half of 2025.

By December 2025 the share had retreated toward ₹1,390 and continued its downward drift into 2026, touching a 52-week low of ₹982 intraday before stabilising around ₹1,045 in early July 2026. The stock has therefore declined approximately 35% from peak to present, in line with broader weakness across large-cap Indian IT names.

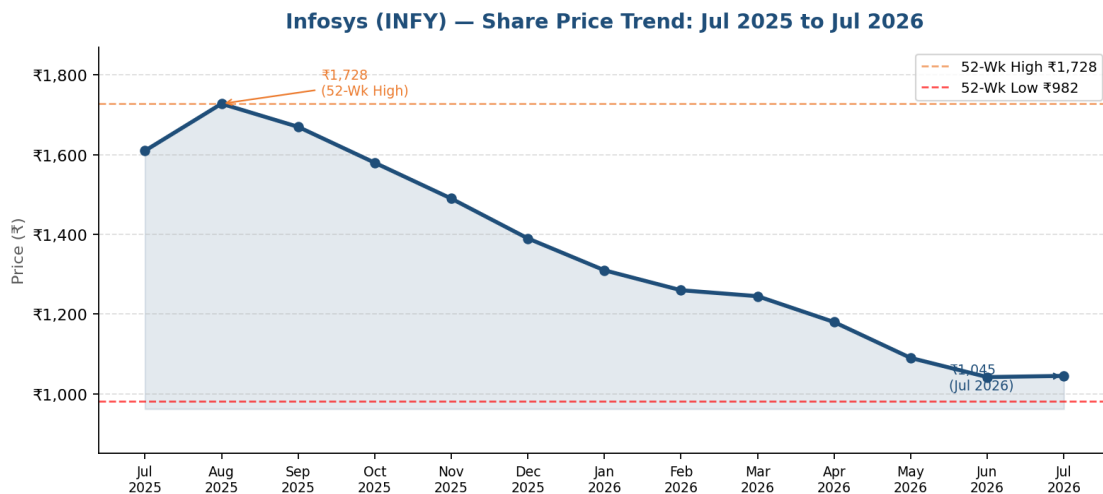


Figure 1: Infosys monthly closing price — July 2025 to July 2026 (NSE)

Key price milestones over the period:

- Aug 2025: 52-week high of ₹1,728 — peak driven by AI deal pipeline optimism and a record buyback announcement at ₹1,800 per share
- Nov 2025: Company completed India's largest-ever IT sector buyback (₹18,000 Cr), temporarily supporting sentiment
- Jan 2026: Stock held near ₹1,310 as Infosys raised FY26 guidance from 2–3% to 3–3.5% on strong Q3 performance
- Apr 2026: Q4 FY26 results announced; stock around ₹1,180–1,240 despite strong earnings, as markets had priced in positives

- Jul 2026: Trading at ₹1,045 — down ~35.7% year-on-year; the stock now offers value at a historically low P/E

2. P/E Ratio, Market Capitalisation & Dividend History

2.1 Valuation — P/E Ratio & Market Cap

As of July 6, 2026, Infosys trades at a trailing P/E ratio of approximately 14.5×, which represents a significant discount to its own five-year historical average of roughly 27× and its FY22 peak of 36×. The current low multiple reflects the market's caution over near-term growth rather than any fundamental deterioration in the business.

Metric	Current (Jul 2026)	FY25 Avg	FY22 Peak
Share Price (NSE)	₹1,045	₹1,380 (approx.)	₹1,900+
P/E Ratio	14.5×	22.8×	36.2×
Market Cap	₹4,24,910 Cr	₹5,17,611 Cr	₹7,50,000+ Cr
ROE	32.7%	30.8% (3yr avg)	~28%
EV/EBITDA	11.76×	~15×	~25×

Table 1: Infosys key valuation metrics — current vs. historical

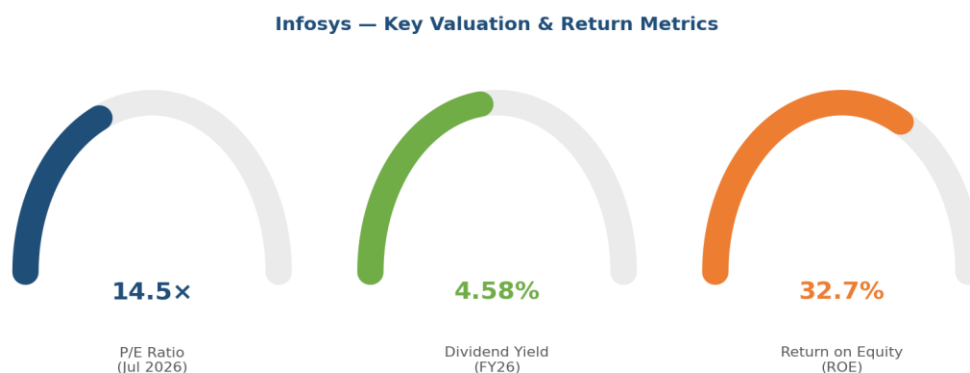


Figure 2: Infosys key valuation and return metrics (July 2026)

2.2 Dividend History

Infosys has one of the most consistent and progressively growing dividend track records among Indian large-cap IT companies. The company commits to returning approximately 85% of its free cash flow annually through a combination of dividends, special dividends, and share buybacks — a policy it has maintained since FY20.

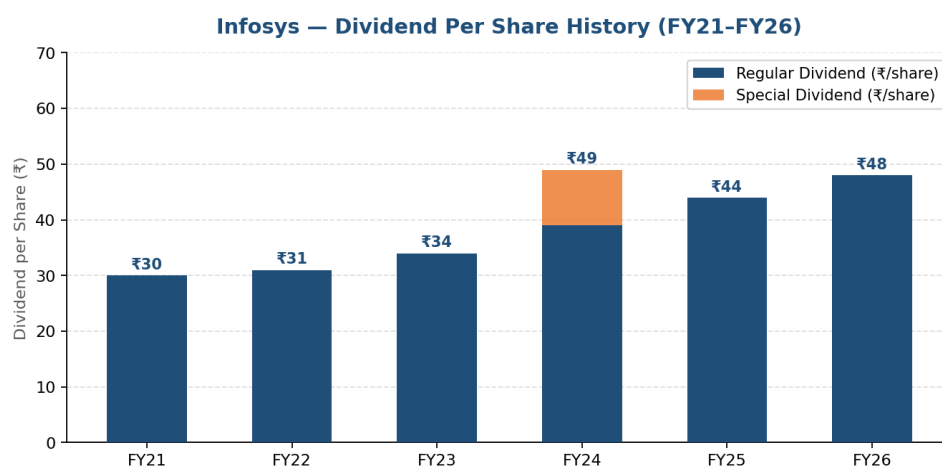


Figure 3: Infosys total dividend per share, FY21–FY26

FY	Regular Div (₹/sh)	Special Div (₹/sh)	Total Payout (₹/sh)
FY21	₹30.00	—	₹30.00
FY22	₹31.00	—	₹31.00
FY23	₹34.00	—	₹34.00
FY24	₹39.00	₹8.00 (special)	₹49.00 ★
FY25	₹44.00	—	₹44.00
FY26	₹48.00	—	₹48.00 Yield: 4.58%

Table 2: Infosys dividend history FY21–FY26 (★FY24 includes one-time special dividend)

The FY26 total payout of ₹48 per share (interim ₹23 + final ₹25) delivers a dividend yield of approximately 4.58% at the current price of ₹1,045 — one of the highest yields the stock has offered in recent history, and compelling for income-oriented investors.

3. Future Growth Prospects

3.1 FY27 Management Guidance

At its FY26 annual results on April 23, 2026, Infosys issued the following official guidance for FY27 (April 2026 – March 2027):

- Revenue growth of 1.5%–3.5% in constant currency terms
- Operating margin sustained at 20%–22%
- Full-year FY26 revenues crossed the \$20 billion mark for the first time, growing 3.1% in constant currency
- Large deal wins reached a record TCV of \$14.9 billion in FY26, with 55% being net new business
- Free cash flow generation of \$3.7 billion in FY26 — one of the strongest in the company's history

3.2 AI-First Strategy: Infosys Topaz

The most significant growth driver for Infosys over the medium term is its Infosys Topaz platform — a suite of AI-powered offerings that helps enterprise clients implement full-scale artificial intelligence solutions. CEO Salil Parekh has positioned this as the cornerstone of the company's differentiated market strategy, with clients increasingly engaging Infosys as a strategic AI partner rather than a traditional IT vendor.

Topaz has already enabled Infosys to gain market share in large transformation deals. The shift from proof-of-concept AI projects to full enterprise-wide implementations is accelerating, which should support higher-value, longer-duration contracts in FY27 and beyond.

3.3 Growth Catalysts

- Enterprise AI adoption: Enterprises globally are accelerating AI integration in their technology stacks. As a trusted implementation partner with a deep talent pool, Infosys stands to capture a meaningful share of this multi-billion-dollar opportunity.
- Large deal pipeline: A record \$14.9 billion TCV in FY26, with 55% being net new deals, provides strong visibility into FY27 and FY28 revenues as deals ramp up over 3–5 year contract periods.
- Europe expansion: Revenue from Europe grew 3.6% quarter-on-quarter in Q3 FY26, as clients in the region accelerated cloud migration and digital transformation initiatives. Europe is increasingly a growth engine for Infosys.
- Project Maximus efficiency: Infosys's internal cost-optimisation programme continues to deliver margin tailwinds, freeing up funds for investment in AI talent and partnerships without diluting operating margin.
- Workforce scaling: Over 5,000 net hires in Q3 FY26 alone signal confidence in the deal pipeline and provide capacity for ramp-ups on newly signed contracts.

3.4 Key Risks

- Macroeconomic uncertainty: Discretionary IT spending by global clients (especially in the US, which accounts for ~60% of revenue) remains sensitive to recessionary signals and interest rate expectations.
- Currency headwinds: A stronger Indian rupee against the US dollar compresses reported rupee revenues from USD-denominated contracts.
- AI disruption risk: Rapid advances in AI code generation and automation tools could reduce the volume of traditional software services work over the long term, requiring continuous business model adaptation.
- Talent cost inflation: Compensation pressures in a competitive talent market could weigh on margins if the IT hiring cycle accelerates.

3.5 Analyst View & Valuation Perspective

At a P/E of ~14.5× — versus a 5-year average of ~27× — Infosys appears attractively valued for a company with a 32.7% ROE, consistent free cash generation, and a growing AI services portfolio. The consensus analyst target from platforms such as TipRanks stands at approximately \$13 (ADR equivalent), implying meaningful upside from current levels. Most analysts rate the stock a Hold–Buy, with the key catalyst being an acceleration in constant currency revenue growth toward the upper end of guidance.

Conclusion

Infosys presents a mixed but increasingly compelling investment picture heading into FY27. The share price correction of ~35% over the past year has compressed valuations to multi-year lows, while the fundamentals — expanding AI-first deal pipeline, record deal wins, improving margins, and a near 4.6% dividend yield — remain robust. The company's ability to execute on its Topaz AI strategy and convert its \$14.9 billion deal backlog into revenue growth will be the primary determinants of stock performance over the next 12–24 months.

For a long-term investor, the current price level offers an attractive entry point into India's second-largest IT company at a significant discount to its historical valuation. Short-term volatility linked to global macro and currency movements, however, warrants careful position sizing.
